COMPARING THE THREE SCHEMES

The Old Pension Scheme (OPS) gave way to the National Pension System (NPS) on Jan. 1, 2004. Two decades on, the Unified Pension Scheme (UPS), set to be rolled out on April 1, 2025, tries to marry the two

EMPLOYEE CONTRIBUTION

- **OPS** No contribution
- **NPS** 10% of salary
- **UPS** **10% of salary**

GOVERNMENT CONTRIBUTION

- **OPS** Funded by government
- **NPS** 14% of salary
- **UPS** **18.5% of salary**

PENSION ON RETIREMENT

- **OPS** Fixed pension amount based on last-drawn salary
- **NPS** Market-linked, depends on the value of accumulation and prevailing annuity rates at the time
- **UPS** **50% of the average basic pay in the last 12 months of job**

FAMILY PENSION FACILITY

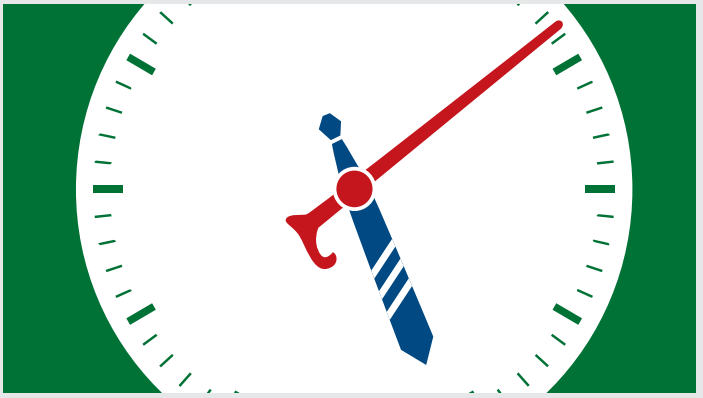
- **OPS** Yes, family pension available
- **NPS** No such facility, depends on the type of annuity opted
- **UPS** **Yes, 60% of original pension**

INFLATION INDEXATION

- **OPS** Yes, pension amount increased with DA hikes
- **NPS** No, pension is market-linked
- **UPS** **Yes, based on All India Consumer Price Index for Industrial Workers**

TAXATION

- **OPS** Pension treated as income and taxed
- **NPS** Contributions qualify for tax benefits under the old tax regime. At the time of withdrawal, 60% of corpus can be withdrawn lump sum and is tax-free with remaining 40% paid in the form of annuity, which is taxed
- **UPS** **Not clear yet**



Graphic by TANMOY CHAKRABORTY

based on their last-drawn salary, which was revised every few years based on the Pay Commission recommendations. This defined benefit (DB) plan worked very well for employees as it was wholly funded by the government and provided a stable income even after retirement.

In January 2000, a report submitted to the Union government outlined the need to look beyond the existing DB scheme to achieve its social objectives. But, more importantly, it flagged the increasing pressure on the Union budget to fund future pensions. This led to the introduction of the NPS, modelled on a defined contribution (DC) model. In the first phase, it was opened for all central government employees (excluding the armed forces) who had joined the workforce on or after January 1, 2004. Employees had no choice or say; they contributed 10 per cent of their income towards pension, which was matched by the government. In 2009, it was opened to all Indian citizens.

THE NPS MODEL HAS BEEN UPDATED FREQUENTLY TO ADDRESS CHANGING CIRCUMSTANCES, ONLY ADDING TO THE CONFUSION

As such, the NPS had the potential to become a robust system. But, it was only in 2007-08 that the retirement arms of leading institutions—SBI, LIC and UTI—were brought in to manage the corpus that was resting in the common pool. Basically, those who were part of the NPS from 2004 to 2007 earned a fixed return based on the EPFO (Employees' Provident Fund Organisation) rates. This was a period when interest rates in fact went down by 100 basis points and the stock markets were on the rise. Thus the new members ended up forgoing both benefits. While the NPS architecture has evolved since the Pension Fund Regulatory and Development Authority (PFRDA) Act was passed in 2013, government employees had little control on the way their funds were invested. Moreover, the NPS model has been frequently updated to address the changing circumstances, only adding to the confusion. With not enough initiatives to educate and build awareness, a large section of employees kept demanding a rollback.

The issue also became a political hot potato, with several Opposition-ruled states, like Rajasthan, Chhattisgarh, Punjab and Himachal Pradesh, reverting to the OPS over the past two years. The growing clamour forced the Union government to set up a committee led by finance secretary T.V. Somanathan in March 2023 to find ways to improve NPS benefits without reverting to the non-contributory and fiscally unsustainable OPS.

The UPS does account for pension